

Financial Accounting

BBA — 2nd Semester — 2023 — Answer Sheet
Subject Code: ACC201

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: $[10 \times 2 = 20]$

1. Define NFRS.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. What is intangible asset?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. What do you mean matching concept of accounting?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. Write about accrual basis of accounting.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Explain about different types of cheque.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. The following transaction are given:
a. Goods costing Rs 60,000 was sold at 10% profit.
b. Rent received Rs 52,000 including advance rent of Rs 4,000
Required: Accounting equation

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. The following particulars are provided to you:
Profit for the year Rs 20,000
Loss on revaluation Rs 12,000
Gain from cash flow hedges Rs 28,000
Gain on sale of investment Rs 22,000
Required: Statement of Other Comprehensive Income as per NFRS

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. ABC Company purchased a machine at a cost of Rs 1,000,000 on 1st Baisakh 2077. Installation cost was Rs 50,000. The estimated life of the machine was Rs 5 years with salvage value of Rs 50,000. On 30th Ashwin 2078 machine was sold for Rs 650,000. Required: Amount of profit or loss from the sales of machine

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. KK Company purchased a car at the cost of Rs 2,020,000 on 1st Shrawan 2077. The estimated life of the car is 100,000 KMs with salvage value of Rs 20,000. During 2077 and 2078, the car was run for 16,000 KM and 24,000 KM respectively. Required: Depreciation for the year 2077 and 2078

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. The following are the information given to you: > Transportation cost on machine purchased > Servicing charge for bike > White wash of old building > Utilities paid
Required: The revenue and capital items

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (Attempt any SIX Questions) [6 × 5 = 30]

11. "Accounting information is needed for decisions", discuss.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Differentiate between accounting and accountancy.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. What is trail balance? Why it is prepared?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Following are the information of assets of a Company:

Particulars	2077	2078
Equipment	100,000	150,000
Building	300,000	400,000
Investment	90,000	270,000
Goodwill	60,000	45,000
Cash and bank	70,000	35,000
Stock	50,000	40,000
Account Receivable	30,000	60,000

Required: Comparative (Horizontal) Analysis

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. The bank statement of a company showed a balance of Rs 42,000 on 30th Shrawan 2079. However the company balance showed a different balance of Rs 38,000. On the investigation, the following differences were noticed:> Outstanding cheque Rs 10,000 /?> Deposit in transit Rs 13,000 /?> A customer's cheque of Rs 4,000 was return with the bank statement marked NSF.> Collection of notes receivable for Rs 4,000 and interest on investment Rs 3,000> Bank charge Rs 2,000 for the service provided by the bank> A cheque of Rs 10,000 was paid by the bank. However, the company recorded Rs 16,000 in its statement.Required: Bank reconciliation statement

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. The following information is provided to you:Sales Rs 800,000Material consumed Rs 200,000Carriage Rs 20,000Office expenses Rs 50,000Wages and salaries Rs 70,000Interest paid Rs 20,000Dividend received Rs 30,000Depreciation Rs 40,000Income tax paid Rs 30,000Required: (a) Value added statement and(b) Net profit for the year

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. Required:a. Profit and loss statement for the year ending 31st December 2022 as per NFRS.b. Statement of financial position as on 31st December 2022 as per NFRS.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions:(Attempt any THREE Questions)[3 × 10 = 30]

18. The SS Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:Statement of Profit and Loss for the year 2022ParticularsAmount (Rs.)Revenue from operation1,000,000Less: Cost of sales(650,000)Gross margin350,000Add Other income(including dividend received Rs 21,000)50,000Total400,000Less: Distribution expenses(80,000)Less: Administrative expenses (including depreciation of Rs 75,000and bad debts of Rs 10,000)(225,000)Operating Profit95,000Less: Finance cost(20,000)Net profit before tax75,000Less: Provision for tax(18,750)Net profit after tax56,250Less: Dividend paid(10,000)Retained Earnings46,250Statement of Financial Position of a company for 2021 and 2022Assets20212022Non-Current Assets:Property, plant and equipment400,000500,000Goodwill30,00040,000Investments170,000210,000Total Non-Current Assets600,000750,000Current Assets:Inventories/Stock40,00050,000Cash and cash equivalents50,00060,000Account receivables50,00070,000Trade and Other receivables30,00040,000Total Current Assets170,000220,000Fictitious AssetsTotal Assets (Total Non-current and Current Assets)770,000970,000Equity:Share capital @Rs 100 each400,000500,000Reserve/Retained earnings50,00096,250Non-controlling interestsTotal Equity450,000596,250LiabilitiesNon-Current Liabilities:Loans and borrowings100,000200,000Total Non-Current Liabilities100,000200,000Current Liabilities:Trade and other payable180,000155,000Income tax liabilities18,750Provisions40,000Total Current-Liabilities220,000173,750Total Liabilities (Total Non-current and Current)320,000373,750Total Equity and Total Liabilities770,000970,000Required: Statement of Cash Flow under NFRS

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer/ Case / Situation Analysis Questions:[20]

19. The GG Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:

Statement of Profit and Loss for the year 2022	Particulars	Amount (Rs)
Revenue from operation (including credit sales of Rs 650,000)	1,200,000	
Less: Cost of sales	(700,000)	
Gross margin	500,000	
Add Other income	70,000	
Total	570,000	
Less: Distribution expenses	(160,000)	
Less: Administrative expenses	(220,000)	
Operating Profit	190,200	
Less: Finance cost	(30,000)	
Net profit before tax	160,000	
Less: Provision for tax	(40,000)	
Net profit after tax		

Statement of Financial Position of a company for 2021 and 2022

Assets	2021	2022
Non-Current Assets:		
Property, plant and equipment	500,000	600,000
Intangible Assets	80,000	40,000
Investments	70,000	100,000
Total Non-Current Assets	600,000	740,000
Current Assets:		
Inventories/Stock	40,000	
Cash and cash equivalents	30,000	50,000
Account receivables	40,000	70,000
Trade and Other receivables	60,000	30,000
Total Current Assets	170,000	190,000
Fictitious Assets		
Total Assets (Total Non-current and Current Assets)	770,000	930,000
Equity:		
Share capital @Rs 100 each	400,000	450,000
Reserve/Net Profit	100,000	220,000
Non-controlling interests		
Total Equity	500,000	670,000
Liabilities:		
Non-Current Liabilities:		
10% Loans and borrowings	150,000	200,000
Total Non-Current Liabilities	150,000	200,000
Current Liabilities:		
Trade and other payable	100,000	20,000
Income tax liabilities	40,000	
Provisions	20,000	
Total Current-Liabilities	120,000	60,000
Total Liabilities (Total Non-current and Current)	270,000	260,000
Total Equity and Total Liabilities	770,000	930,000

Required for 2022:

- Current ratio (2:1)
- Acid test ratio (1:1)
- Debt to total capital ratio (less than 40%)
- Stock turnover ratio (at least 8 times)
- Total assets turnover ratio (more than 1 time)
- Net profit margin (at least 12%)
- Return on equity (at least 7%)
- Return on assets (at least 5%)
- Average sales period (45 days or less than 45 days)
- Account receivable turnover ratio (at least 8 times)
- Comment on the results

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.